1. Location and Scale

1.1. Location

Optimal Location:

A business location that gives the best combination of **quantitative** and **qualitative** factors.

- Quantitative factors: Issues that managers should consider that can be measured in financial or numerical terms.
- Qualitative factors: Issues that managers should consider that are not measurable in financial or numerical terms.

Key aspects of Location Decision:

- Strategic Nature: Long-term impact on the entire business.
- Irreversibility: Relocation is costly and difficult to reverse.
- Top-Level Decision: Made by senior management, not delegated.

Benefits and Drawback of Optimal Location:

Benefits of Optimal Location	Drawback of Optimal Location
Highly convenient and accessible as easy to reach for customers, clients, or residents.	Higher rent, wages, and operational expenses in prime areas. Thus, increasing cost.
Reduced operational costs like shipping, transportation, and commuting. Making it cost efficient.	High demand for skilled labor may lead to difficulty in recruitment.
Higher foot traffic or online visibility, leading to more customers or clients. Increased brand presence.	Traffic and logistical challenges can affect efficiency and increase costs.
Strategic positioning near competitors or key infrastructure for business growth.	Restricted growth potential due to limited space or high costs.
Better living standards with access to amenities, schools, and nature. Thus, firm can charge premium prices.	Potential for higher local taxes and fees in desirable locations.
Proximity to industry players or institutions fosters collaboration and partnerships.	Market may become oversaturated, leading to lower profits.
N/A	Crowded market with many competitors, making it harder to stand out.

Benefits and Drawback of Non-Optimal Location:

Drawbacks of Non Optimal Location:	Benefits of Non Optimal Location:
High Unemployment Rate	Reduced rent, wages, and operational expenses, causing a fall in overall cost.
JIT inventory challenges due to unreliable deliveries.	Easier market penetration in less crowded areas due to less competition.
High variable costs reduce competitiveness.	Easier logistics and lower transport delays compared to high-density areas.
Low profits or losses if sales are insufficient.	Stronger local engagement and brand loyalty.
High unit fixed costs if capacity utilization is low.	More space for future growth/expansion at a lower cost.
Limited customer access affects sales.	Tax breaks, grants, or subsidies in underdeveloped areas.
Higher transport costs for materials and finished goods.	Higher employee retention in areas with fewer job opportunities.
Difficult to recruit suitable employees.	N/A
Lower consumer disposable income reduces demand for income-elastic products.	N/A

Factors determining Location and Relocation Decisions

Quantitative Factors

When businesses decide on a location or consider relocation, they analyze various quantitative factors to ensure profitability and efficiency. These factors include:

Site and Fixed Costs:

- Costs of purchasing or renting land and buildings differ by region and country.
- "Greenfield" sites (undeveloped land) may require significant initial investment, whereas developed sites might need adaptation costs.

Labour Costs:

- Labour-intensive businesses (e.g., call centers) prioritize areas with lower wages.
- Capital-intensive industries (e.g., Flow production related operation such as Candy products) are less concerned with wage costs.
- Offshoring occurs when businesses relocate to countries with cheaper labour.

Transport Costs:

- Raw material-heavy industries (e.g., steel plants) prefer locations near suppliers to minimize costs.

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- Businesses whose products increase in bulk prefer sites near customers.
- Service-based businesses (hotels, retail stores) focus on customer accessibility rather than transport costs.

Break-even Analysis:

- Helps compare the output needed to cover costs at different locations.
- Lower break-even output = lower financial risk.
- Break-even analysis has its limitations, as it assumes constant costs and sales.

Government Grants/Subsidies:

- Many governments provide financial incentives to attract businesses.
- Grants can lower relocation costs, especially in high-unemployment areas.
- Drawback is that it can also lead to locating at a non-optimal location to receive the grant.

Profit Estimates:

- Businesses compare expected revenues and costs for different locations.
- A higher profit potential may not always justify a significantly higher capital investment.

Investment Appraisal:

- Methods like Net Present Value (NPV) and Payback Period help assess long-term returns.
- However, future cost and revenue estimates are uncertain.

Potential Revenue Impact:

- Location influences customer perception, affecting sales and pricing.

  High-end businesses may prefer prestigious locations (e.g., Park Lane Street, Wall Street).

Qualitative Factors

Quantitative factors focus on measurable costs and revenues, qualitative factors influence location decisions based on non-financial considerations. These include:

Safety:

- Some industries (e.g., chemical plants, nuclear power stations) pose risks to public health and safety.
- Such businesses may be required to operate in remote locations, increasing transport costs.

Expansion Opportunities:

- Relocating can be costly and disruptive, so businesses prefer locations with room for future growth.
- If a site is too small, long-term expansion may be challenging.

Managers' Preferences:

- Small business owners may choose locations based on personal lifestyle choices (e.g., living near the workplace).
- In large organizations, shareholder returns take priority over personal preferences.

Ethical Considerations:

- Relocating may lead to job losses, damaging the company's reputation.
- Moving to a country with weak labor laws may attract criticism from pressure groups and stakeholders.

Infrastructure Quality:

- Transport and communication networks impact business efficiency.
- Bad quality of such leads to late delivery, lengthier production process, delay in communication etc.
- For example, Shipping firms prefer locations with major ports (e.g., Singapore).
- Tech companies need high-speed internet and reliable power.
- E-commerce businesses may prefer warehouses over retail spaces due to online shopping growth.

Planning Restrictions:

- Governments regulate business locations through zoning laws and industrial development policies.
- Some regions create industrial estates and business parks to attract companies while maintaining environmental balance.

Differences Between Local, National, and International Location.

Local Location Decisions:

- Typically involve small businesses with a single branch or office.
- Often located near the owner's home or within their residence.
- Influenced by personal preference, convenience, and community demand.
- Examples: Independent hairdressers, small retail shops, freelance businesses.

National Location Decisions:

- Involve businesses expanding across multiple regions within a country.
- Key factors include site costs, customer accessibility, and regional market size.
- Common among supermarket chains, retail franchises, and service providers.
- Examples: Walmart (within a country), national bank chains, Sim companies.

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International Location Decisions:

- Involve multinational businesses operating across different countries.
- Driven by factors like cost advantages, tax benefits, supply chain efficiencies, and market expansion.
- Common in manufacturing, retail, and outsourcing industries.
- Examples: Samsung, Nike, Toyota.

Benefits of Multi-site Location:

Better Market Reach:

- Expanding into multiple locations allows businesses to serve a larger customer base.
- Retailers, banks, and service providers benefit from increased accessibility.

Risk Reduction:

- Businesses in multiple locations avoid over-reliance on a single site.
- Useful for primary industries like mining, where resource depletion is a risk.

Economies of Scale:

- Large companies can distribute production across multiple sites to lower costs.
- E.g. Global manufacturers setting up plants in different regions to reduce transportation costs.

Customer Convenience:

- Banks, supermarkets, and service providers expand to offer localized services.
- E.g. Starbucks opening branches in various cities for easy customer access.

Adaptation to Local Markets:

- E.g. McDonald's adjusts its menu to suit local tastes in different countries.
- Businesses can tailor products or services based on regional customer preferences.

The Reasons For and Impact of Offshoring and Reshoring

Offshoring

The relocation of a business process from one country to another country.

Reasons for Offshoring:

Lower cost:

- Companies relocate operations to countries with lower wages to remain competitive.
- AMEX offshored customer service to Philippines.
- Ford offshored IT services to India.
- Tommy Hilfiger offshored manufacturing services to Bangladesh.

Supply of highly qualified Workforce:

- Countries investing in education and workforce training benefit most from offshoring.
- India and China provide a skilled workforce at lower costs for IT and customer service industries.
- Bangladesh provides trade skilled workers for jobs in construction.

Access to Global Market:

- Expanding to emerging markets allows businesses to increase sales.
- Facebook expanded to India to access its mass population.

Avoiding Protectionist Trade Barriers:

- Setting up operations inside a country can help businesses bypass tariffs and trade restrictions.
- Toyota built a factory in France to avoid trade barriers on Japanese car imports.

Government Financial Support:

- Some governments offer incentives such as tax breaks and subsidies to attract foreign businesses.

Overcoming Exchange Rate Fluctuations:

- Producing goods in the same country where they are sold reduces the risk of price instability caused by currency fluctuations.

Impact of Offshoring:

Positive Results	Negative Results
Companies save on labor and operational costs.	Manufacturing and service jobs move overseas, causing lower employment opportunities in home country.
Access to skilled labor and improved supply chains, boosting efficiency levels.	Distance and cultural differences may lead to inconsistencies in quality.
Businesses grow by entering new consumer markets.	Some offshore locations have poor labor laws and working conditions.
Lower costs lead to increased profitability.	Developing nations may become overly reliant on foreign investment.

Reshoring

Transferring a business operation that was moved overseas back to the country where it was originally located.

Reasons for Reshoring:

Language and Communication Barriers:

- Offshore operations can suffer from miscommunication due to language differences.
- Lack of face-to-face contact makes coordination more challenging.

Cultural Differences:

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- Different work cultures may not align with business operations.
- Toyota struggled in Mexico because its teamwork-based system clashed with Mexican workers' independent work style

Product Quality and Service Concerns:

- Customer service (e.g., call centers) and technical support may be negatively impacted by time zones, language barriers, and service inconsistencies.
- Some companies have faced backlash due to poor offshore customer support.

Supply Chain Risks:

- Offshore suppliers may not meet quality or delivery expectations.
- Zara keeps production local to ensure fast delivery and maintain high quality in its "fast fashion" model.

Ethical Considerations:

- Offshoring can lead to job losses in the home country, causing consumer backlash.
- Companies sourcing from factories with poor labor conditions risk negative publicity.
- Chocolate companies often face criticism for conducting deals with cacao beans firms known for poor work condition and wage.

Overdependence on International Supply Chain:

- COVID-19 disruptions highlighted risks of relying on offshore suppliers.
- Companies are reshoring to avoid future supply chain failures.

Impacts of Reshoring:

Positive	Negative
Closer monitoring of production and services, increasing quality.	Wages and operational costs in home countries are higher, increasing production cost.
Avoids ethical concerns related to offshore labor conditions, boosting brand reputation.	Businesses may struggle to compete with cheaper offshore producers.
Less risk of delays due to global disruptions due to suppliers within country, increasing reliability.	Some industries may struggle to find local workers with the required skills.
Boosts domestic employment and economy.	N/A

The impact of Globalisation on Location and Relocation decisions

- **Globalisation** is the process by which the world's economies, businesses, and cultures become increasingly interconnected and interdependent.
- **Globalisation** can affect where business decide to locate or relocate in many ways:
    1. **Access to larger markets:** firms may relocate production or open offices closer to major international markets to reduce delivery times and adapt to local preferences.
    2. **Lower production Costs:** globalisation increases access to countries with cheaper labour, raw materials, or lower taxes acting as an incentive to relocate manufacturing to reduce costs.
    3. **Economies of Scale:** producing for global demand rather than local demand encourages larger scale facilities in more strategic locations to achieve economies of scale.
    4. **Risk diversification:** firms may spread operations across multiple countries to reduce dependence on any single market or region, reducing risk.
    5. **Competition:** access to local skills, cultural understanding, and compliance with regulations influences location decisions.
    6. **Trade agreements and free trade zones:** trade blocs (EU, ASEAN, NAFTA) encourage businesses to locate within member countries to benefit from tariff-free access.

1.2. Scale of operations

Factors that influence the scale of a business

1. **Owner's objectives and goals:** owners may choose to maintain the business at a manageable scale or pursue aggressive expansion.
2. **Access to finance/capital:** access to finance of a business determines its ability to expand.
3. **Market size and demand:** businesses that are in niche markets may remain small intentionally.
4. **Economies of scale:** firms may grow to exploit economies of scale.
5. **Skills and capacity of management:** if a business lacks managerial expertise it may limit growth potential.
6. **Legal constraints and regulation:** regulations, licensing, and other laws may limit expansion.
7. **Technology:** Use of more advanced technology can help scale up the business.

Internal Economies of Scale:

Factors that cause reductions in unit (average) costs of production as the business expands its scale of operations.

Types of internal economies of scale:

Purchasing (Bulk Buying) Economies of Scale:

- Large firms receive discounts on bulk orders because suppliers save on processing and delivery costs.

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- Big firms hire specialist buyers to source materials at the lowest prices, often globally.
- E.g. Supermarkets like Smart Bazaar or Costco negotiate lower prices from suppliers due to their high-volume purchases.

Technical Economies of Scale:

- Large firms can afford expensive, advanced machinery and automated production lines.
- High production levels spread fixed costs over more units, reducing per-unit costs.

  E.g. Car manufacturers like Toyota and BYD use robotic assembly lines to improve efficiency.

Financial Economies of Scale:

- Large businesses get loans at lower interest rates due to their established reputation.
- Public companies raise capital more cheaply through share issuance since high fixed costs (legal fees, prospectus, etc.) are spread over large amounts.

  E.g. Companies like Samsung and Microsoft easily secure low-interest loans due to their strong financial position.

Marketing Economies of Scale:

- Advertising and promotional costs are spread over a higher volume of sales.
- Large firms negotiate better deals with advertising agencies.

  E.g. Pepsi and McDonald's invest in global marketing, reducing per-unit advertising costs.

Managerial Economies of Scale:

- Large firms can hire specialized managers for finance, HR, marketing, etc., improving efficiency.
- Small businesses often rely on general managers, who handle multiple tasks less efficiently.
- E.g. Amazon has specialized teams for logistics, customer service, and AI-driven operations, optimizing efficiency.

Internal Diseconomies of Scale:

As businesses grow beyond a certain size, they may experience diseconomies of scale, where unit costs start to rise due to management and operational inefficiencies. These diseconomies prevent some industries from being dominated by just a few massive firms.

Communication Problems:	Alienation of the Workforce:	Poor Coordination:
Employees' concerns and suggestions may not reach decision-makers effectively.	As businesses expand, employees may feel disconnected from overall company goals.	Different divisions may pursue their own goals, creating inefficiencies.
Emails, memos, and reports can be less effective than direct conversations.	Demotivated employees leads to lower output.	Large Companies have higher no. of departments, divisions, and international operations make coordination challenging.
A vast number of messages can overwhelm management, making it hard to prioritize important information.	Workers may feel insignificant in a massive organization, leading to lower motivation.	Poor regulation across divisions (e.g., environmental standards) can harm brand reputation.
Long chains of command increase the risk of miscommunication.	Assembly-line/Repetitive task production can be monotonous, increasing dissatisfaction.	Multiple R&D departments working on similar projects waste resources.
Impact: Inefficiencies in communication lead to poor decision-making, reduced employee motivation, and increased operational costs.	Impact: Employees may not feel valued, leading to higher absenteeism and turnover rates.	Impact: Higher production costs and inefficiencies, making the business harder to manage.

How to Reduce Diseconomies of Scale:

Management By Objective (MBO):

- Setting clear and aligned objectives for all departments ensures coordination.
- Employees understand how their work contributes to company goals, improving motivation.

Decentralization:

- Granting autonomy to divisions allows them to operate independently while still aligning with overall strategy.
- Decisions are made by managers with hands-on experience, improving efficiency.

Rationalization of Product Line/Reducing Diversification:

- Businesses focusing on core activities can reduce complexity and coordination challenges.
- Demerger Strategy: it is when a company splits into two or more parts, which enhances strategic focus of the separated entities as it decreases bureaucracy, allowing faster decision-making. It results in higher managerial efficiency.

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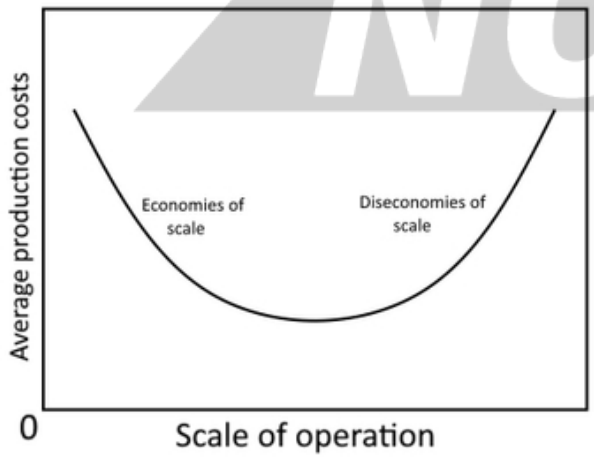
External Economies of Scale:

While internal economies of scale arise within a company, external economies of scale occur when businesses benefit from the overall growth of their industry in a particular region.

External Economies of Scale	External Diseconomies of Scale
A large industry in one location attracts skilled workers. Universities and training institutes offer specialized courses, ensuring a steady supply of qualified employees. E.g. Silicon Valley (USA) are hubs for IT professionals due to their tech-focused universities.	High demand for space leads to expensive real estate and rental prices. E.g. Office rents in Silicon Valley and London's financial district have skyrocketed due to high demand.
Governments invest in better transport, communication, and utilities to support industry clusters.	Competition for skilled workers increases salaries, raising labor costs. E.g. Tech companies in San Francisco struggle with talent shortages, pushing up wages.
A well-developed local supply chain reduces input costs and delivery times. E.g. Shenzhen (China) became an electronics hub due to the concentration of electronic manufacturers.	Overcrowding leads to delays in transportation and supply chain inefficiencies. E.g. Bangkok's garment industry faces logistical delays due to extreme traffic congestion
Being close to competitors encourages collaboration, joint ventures, and industry advancements. E.g. The pharmaceutical industry in Basel, Switzerland benefits from research partnerships.	High industrial activity can lead to pollution, forcing businesses to spend more on compliance. E.g. China's manufacturing zones face stricter environmental laws, increasing operational costs.

Economies and Diseconomies of Scale and Their Impact on Unit Costs

The relationship between economies of scale, diseconomies of scale, and unit costs is complex and does not have a precise turning point.



The cost curve follows three key phases:

1. Economies of Scale Phase (Decreasing Unit Costs)

- As a business expands, average (unit) costs fall due to factors like bulk purchasing, better specialization, and efficient technology.
- This phase benefits businesses with high fixed costs, such as automobile manufacturers or software firms.

2. Optimal Scale (Lowest Unit Cost Point)

- At some level of output, the business achieves minimum average cost (MES - Minimum Efficient Scale).
- Expansion beyond this point starts introducing inefficiencies.

3. Diseconomies of Scale Phase (Increasing Unit Costs)

- Beyond a certain size, the company faces coordination problems, communication inefficiencies, and rising labor costs, leading to higher average costs.

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